MASTER CLASS DELIVERABLE • VIDEO #7

DeepSeek V3 Local & Cursor IDE Setup: 100x Cheaper than Claude 3.7

Mixture-of-Experts (MoE) Architecture, Ollama Deployment & Full-Stack Coding Configuration

MODEL: DEEPSEEK-V3 671B (MOE) API COST: $0.14 / 1M INPUT TOKENS PUBLISHED BY: @PARKER.RENDER

1. Why DeepSeek V3 Dominates Coding in 2026

DeepSeek V3 activates only 37B parameters per token out of 671B total using dynamic routing. On SWE-Bench and HumanEval, it achieves parity with Claude 3.7 Sonnet while reducing inference costs by over 90%.

2. 1-Click Cursor IDE Integration

How to replace expensive subscriptions inside Cursor:

1. Open Cursor Settings (`Ctrl + Shift + J`).
2. Navigate to **Models** tab.
3. Turn off OpenAI & Anthropic keys.
4. Under **OpenAI Base URL**, paste: `https://api.deepseek.com/v1`
5. Add API Key from `platform.deepseek.com` .
6. Add Model Name: `deepseek-chat` and `deepseek-reasoner` (R1).

3. Local Offline Inference with Ollama

```
# 1. Install Ollama on Windows / macOS / Linux
# 2. Pull quantized DeepSeek V3 distilled coding model
ollama run deepseek-coder-v2:16b

# 3. Test multi-file codebase reasoning via Python
from openai import OpenAI

client = OpenAI(
    api_key="deepseek-api-key",
    base_url="https://api.deepseek.com"
)

response = client.chat.completions.create(
    model="deepseek-chat",
    messages=[
        {"role": "system", "content": "You are a senior full-stack software engineer."},
        {"role": "user", "content": "Write a production FastAPI authentication middleware with
    ],
    temperature=0.0
)
```

```
print(response.choices[0].message.content)
```

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